

BEFORE THE  
FEDERAL MARITIME COMMISSION

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DOCKET NO. 17-05

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CMI DISTRIBUTION, INC.,  
COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN  
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

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**CMI'S OPPOSITION TO SBA's MOTION TO STRIKE**

SBA moves to strike what it characterizes as new arguments and evidence submitted by CMI. Because SBA's motion lacks merit it should be denied.

Pursuant to the Presiding Judge's Amended Scheduling Order, CMI filed its Reply Brief and supporting documentation on June 15, 2018. That Amended Scheduling Order permitted SBA to file a sur-reply on or before June 29, 2018, "limited solely to the section of CMI's reply brief addressing the evidence included in the joint supplemental appendix." On June 29, 2018, CMI filed its four page sur-reply. On July 5, 2018, twenty (20) days after CMI filed its Reply Brief and supporting documentation, SBA moved to strike.

**Supplemental Exhibits**

SBA's motion to strike asserts that nine Supplemental Exhibits that CMI submitted with its Reply Brief should be stricken. SBA's argument ignores the fact that the Supplemental Exhibits directly relate to SBA's response, and thus are authorized pursuant to 46 C.F.R. § 502.70(c) (reply to dispositive motion may present matters that relate to the response.)

SBA objects to Supplemental Exhibit 1, which is SBA's Term and Conditions of service. That document is properly admissible because it refutes SBA's assertion that it did act as a carrier providing ocean transportation services. CMI Reply Brief at p. 8, n. 7. Even more significantly, SBA's Terms and Conditions refutes its' claim that it was not acting as an Non-vessel operating common carrier ("NVOCC") because those Terms and Conditions provide that SBA's water carriage is governed by COGSA – which clearly establishes the responsibility of a carrier issuing bills of lading for transportation. CMI Reply Brief at p. 12.

Supplemental Exhibit 2 shows that SBA had ISF information in its possession, which it sent to the Customs Broker for the shipments at issue, SBA Consolidators. CMI Reply Brief at p. 14, n. 18. This refutes SBA's assertion that CMI, not SBA, had the ISF information in its possession. It also establishes that, consistent with the Federal Maritime Commission's ("FMC") regulations defining NVOCC services, SBA was assisting with clearing shipments in accordance with U.S. Government regulations. CMI Reply Brief at p. 17.

Supplemental Exhibit 3 shows that, consistent with FMC regulations defining NVOCC services, CMI was entering into arrangements with origin or destination agents. CMI Reply at p. 19. This refutes SBA's contention that it was not acting as an NVOCC.

Supplemental Exhibit 4 is the Declaration of Mike Gallo, the President and Founder of CMI. CMI Reply at pp. 20-21. Mr. Gallo's Declaration refutes the assertions of Jay Jalowiecki and Edward Zasada that SBA did not assume responsibility for the ocean transportation it provided for CMI. Mr. Gallo's Declaration also refutes SBA's contention that it did not exercise a carrier's lien on the CMI cargo in its possession.

Supplemental Exhibit 5 is email correspondence between CMI and SBA which shows that contrary to SBA's argument, the \$300 per day rate that SBA charged CMI for demurrage

was imposed by SBA and not done at CMI's request. *See* Reply Brief at p. 22 ("Rate is \$300.00 per day.")

Supplemental Exhibit 6 shows the amount that SBA overcharged CMI for purported demurrage. CMI Reply Brief at p. 30 n. 6 and 7. This refutes SBA's assertion that it was only marking up demurrage by 20% over what was reflected in the underlying carriers' demurrage tariffs.

Supplemental Exhibit 7 shows the amount that SBA charged CMI in excess of what it was charged by truckers for "demurrage." CMI Reply Brief at pp. 31-32. This refutes SBA's assertion that it was only marking up demurrage by 20% over what was reflected in the underlying carriers' demurrage tariff.

Supplemental Exhibit 8 shows the amount that CMI marked up freight charges in excess of what was charged by the underlying carrier, despite the fact that it did not have a tariff allowing for such mark up. CMI Reply Brief at pp. 16, 29. This flatly contradicts SBA's assertion in its Opposition Brief that it was not acting as an NVOCC, *i.e.*, it was not purchasing transportation services from a common carrier and offering such services for resale to other persons.

Supplemental Exhibit 9 are SBA bills of lading which on their face state that SBA is acting as a Carrier. The SBA bills of lading also draw notice to Carriers Limitation of Liability. CMI Reply Brief at 9. These documents refute SBA's argument that the bills of lading it issued were not functional bills of lading and that SBA was not acting as a carrier.

### **Damages**

SBA objects to CMI's Reply Brief and the documents submitted therewith on the grounds that CMI's damage claims have been revised. Specifically, CMI notes that although

CMI's Opening Statement asserted demurrage and related charges in the amount of \$276,050, in its Reply Brief, that figure was reduced to \$248,000. SBA Motion at p. 3, n. 1. CMI also objects based on the fact that if the Presiding Judge were to determine that SBA is entitled to recover for underlying amounts allegedly paid to truckers for what SBA inappropriately characterized as demurrage – even though such charges are not reflected in a valid tariff – the amount sought by CMI in its Reply Brief has been reduced from \$199,095.50 to \$153,868. *Id.* SBA fails to explain, however, how it has been prejudiced by CMI reducing the size of its damage claim for demurrage charges.

SBA also asserts that CMI is now seeking \$29,185.58 in marked up freight charges which are not reflected in a valid tariff. SBA is correct that CMI had not been aware that SBA was marking up the underlying carriers, and other NVOCCs', freight charges until all of the documents in the Joint Appendix had been compiled. CMI submits that the amount of such overcharges is readily calculated from the documents in the Joint Appendix. CMI does not object, however, to CMI filing a sur-reply solely limited to this discrete issue.

#### **Allegation of Fraud**

SBA argues that CMI alleges fraud against SBA for the first time in its Reply Brief. That assertion is nonsensical. In CMI's Opening Statement, as well as in the Ferreira Expert Report, CMI specifically alleged that SBA charged it for extended periods for supposed use of steamship lines' containers when the containers had in fact been returned to the steamship line. Thus, CMI alleged that SBA was charging it for multiple thousands of dollars when nothing was actually owed. That, of course, is fraud. For SBA to now contend that no fraud allegations were ever made until CM filed its Reply Brief is absurd. This assertion is particularly ludicrous given that CMI alleged fraud at least twelve times in its Opening Brief. *See* CMI Opening Brief at pp. 1, 2,

3, 15, 17, 20, 24, 25 and 26. Indeed, SBA need only have looked at the first paragraph of the Opening Statement to figure out that CMI was alleging that SBA had engaged in fraudulent billing practices. Given these indisputable facts, SBA's argument is specious.

**Brief Addressing Deficiencies in SBA's Response to CMI's Proposed Findings of Fact**

SBA challenges CMI's briefing highlighting the inadequacy of SBA's Responses to CMI's Proposed Findings of Fact. It is not clear whether SBA is objecting to the fact that CMI submitted its objections to SBA's Responses in a separate document or whether SBA objects to CMI pointing out the inadequacy of its Responses, but under either scenario its arguments lack merit.

The Presiding Judge's October 30, 2017 Order expressly required parties objecting to proposed findings of fact to provide an exact citation to evidence supporting its objection. For SBA to suggest that CMI cannot point out SBA's failure to do so (and that CMI's Proposed Statements of Fact are thus unrefuted), on the grounds that CMI's argument does not go to the merits of the case is wholly without foundation. The issue of whether a party is acting as an NVOCC and billing rates not reflected in a valid tariff is largely a fact driven inquiry. For SBA to contend that CMI's hands are tied and that it cannot even address the relevant facts is ridiculous.

To the extent that SBA's motion to strike is predicated upon the fact that CMI highlighted the deficiencies in SBA's Objections in a separate document rather than including it within CMI's Reply Brief, SBA's argument is equally unconvincing. Due to the fact that SBA did not even pretend to comply with the Presiding Judge's October 30, 2017 Order requiring it to submit evidence supporting its objections, CMI's discussion in this regard necessarily was lengthy. As a matter of convenience for the Commission and the parties, CMI therefore housed

its objections to SBA's objections in a separate document. Doing so in no way prejudiced SBA. Indeed, given that CMI easily could have incorporated that filing in its Reply Brief without exceeding the Commission's page limit, the argument is clearly one of form over substance and should be rejected.

For the reasons set forth above, CMI's Motion to Strike should be denied.

Dated: July 9, 2018

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## CERTIFICATE OF SERVICE

I do hereby certify that a true and correct copy of the foregoing document was delivered to the following addressee at the address stated by electronic transmission, this 9th day of July 2018:

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